# 21
# Standby letters of credit

**Learning objectives**

This chapter provides an overview of standby letters of credit and the content of ISP98.

By the end of this chapter, you should be able to:

- describe the origins and use of a standby letter of credit; and
- understand the content of ISP98 as the rules specifically developed for use with a standby letter of credit.

## 21.1 Introduction

Standby letters of credit were initially developed because banks in the United States had limited legal authority to issue guarantees. Today, except under limited circumstances, that restriction on the issuance of guarantees no longer exists.

Standby letters of credit are used to underwrite a wide variety of commercial and financial operations.

Standby letters of credit are not legally distinct from demand guarantees, which also require the presentation of stipulated documents and compliance with the terms and conditions of the guarantee. The distinction lies in practice and terminology.

A standby letter of credit acts as a guarantee if there is a failure to perform a contractual undertaking, such as the obligation of a buyer to pay or that of a seller to deliver. It has the same basic form as a commercial documentary credit. However, the intention is often that a beneficiary, in whose favour

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a standby letter of credit is issued, draws only in case of default on the transaction to which the standby letter of credit relates.

## 21.2 Types of standby letter of credit

Standby letters of credit (or simply 'standbys') can be extremely flexible and are therefore a suitable product in a wide range of payment scenarios. The following are the types most commonly used.

- A **performance standby** supports an obligation to perform other than to pay money and includes an obligation to pay for losses arising from a default of the applicant in completion of the underlying transaction.
- An **advance payment standby** supports an obligation to account for an advance payment made by the beneficiary to the applicant.
- A **bid-bond, or tender bond, standby** supports an obligation of the applicant to execute a contract if it is awarded a bid.
- A **counter-standby** supports the issuance of a separate standby letter of credit or other undertaking by the beneficiary of the counter standby.
- A **financial standby** supports an obligation to pay money, including any instrument evidencing an obligation to repay borrowed money.
- An **insurance standby** supports an insurance or reinsurance obligation of the applicant.
- A **commercial standby** supports the obligations of an applicant to pay for goods or services in the event of non-payment by other methods.
- A **direct-pay standby** is intended to be the primary means of payment and may or may not be linked to a default in performance or payment.


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**Sample commercial standby letter of credit**

ISSUING BANK
XYZ PLC LONDON
100 MAIN STREET
LONDON EC20 9XX

International Sellers Ltd
35th Floor, Two Exchange Square
Connaught Place
Hong Kong

19 July xxxx

Dear Sirs,

We hereby issue our irrevocable standby letter of credit No. … by order of Buyers (UK) Ltd., 100 High Street, London EC15 2AB, in your favour for an amount of GBP 100,000.00 (one hundred thousand pounds) which expires at this office on 31 December XXXX.

This standby letter of credit is issued to cover any non-payment for the delivery of [nature of the goods being shipped] and is available with us by payment against presentation to us of the following documents:

i. Your sight draft drawn on us for the amount of your drawing.

ii. Your certificate stating that you have (a) made shipment of the goods as described above; (b) made a demand for payment on Buyers (UK) Ltd; and (c) have not been paid within 30 days of the invoice date.

iii. Copy of unpaid invoice.

iv. Copy of bill of lading evidencing Buyers (UK) Ltd as consignee, covering shipment of the described goods from Hong Kong to Felixstowe.

Partial drawings are allowed.

All charges under this standby letter of credit are for your account and are as follows [details].

Except where otherwise expressly stated, this standby letter of credit is subject to the International Standby Practices, (ISP98), ICC Publication No. 590

Please quote our reference number on any correspondence.

Yours faithfully

ISSUING BANK XYZ PLC

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## 21.3 Standby letters of credit and UCP 600

The first reference to standby letters of credit, in this context, was made by the ICC Banking Commission in March 1977. It expressed its opinion that such credits fell with the UCP definition of a 'documentary credit' and should therefore be subject to UCP (then UCP 290). The first reference to standby letters of credit in UCP itself came in UCP 400 in 1983.

A commercial documentary credit is issued at the request of the buyer (applicant) in favour of a seller (beneficiary). Its function is to enable the beneficiary to obtain payment due from the applicant once the beneficiary's part in the commercial contract has been fulfilled. The beneficiary can demonstrate fulfilment by presenting the stipulated documents to a nominated bank for honour or negotiation, or to the issuing bank for honour.

The role of the standby letter of credit is different, although it possesses all of the elements of a documentary credit subject to UCP. Standby letters of credit can be used in a variety of scenarios, including:

- as a performance guarantee, for example in respect of major construction contracts or major long-term sales;
- as a form of guarantee by, for example, a parent company for loans granted to a subsidiary (in which case, the standby letter of credit ensures payment if the subsidiary fails to repay the loan when due);
- to support a beneficiary (in which case, it will act to ensure payment under the standby letter of credit if the beneficiary does not receive payment under the pre-agreed method); or
- to cover a guarantee issued by a bank in favour of the beneficiary (in which case, the standby letter of credit may either be issued in favour of the beneficiary or in favour of a bank in the beneficiary's country).

These examples demonstrate how a standby letter of credit can be issued to cover a case of default, or non-performance. (This contrasts with a commercial documentary credit, which ensures payment in a performance situation – that is, the shipment of goods or providing a service or performance – followed by the presentation of the stipulated documents.) This affects both the position of the issuing bank and the type of documentation called for. Even if an applicant claims that it has performed, the issuing bank must pay under the terms of the standby letter of credit if the stipulated documents are presented in a complying form – usually a sight draft on the issuing bank, accompanied by a statement of

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claim issued by the beneficiary. (This position has been upheld in a number of cases in which the courts have ruled against an applicant seeking an injunction to prevent an issuing bank from honouring its undertaking.)

**Standby credits and demand guarantees distinguished**

Although it is not always easy to distinguish on the basis of the basic wording, there is a difference between a standby letter of credit and a normal demand guarantee. Demand guarantees are usually subject to the *Uniform Rules for Demand Guarantees* (URDG), ICC Publication No. 758 (URDG 758). Demand guarantees subject to the URDG 758 do not, however, fall within the scope of this text.

As was the case with the development of UCP 500, which was implemented in 1994, a discussion took place at the time of the drafting of UCP 600 to determine whether to retain reference to the applicability of standby letters of credit. The decision to do so was explained in the *Commentary to UCP 600*, ICC Publication No. 680 (2007, p12):

During the course of the revision, a number of ICC national committees suggested that the reference to standby letters of credit be deleted from the UCP. Their rationale was that with the introduction of ISP98, there were now specific rules for standby credits. After considerable discussion, the Drafting Group felt that the reference to standby credits could not be deleted since, despite the introduction of ISP98, there were still a significant number of standby credits that continued to be issued subject to UCP. The Drafting Group also believed that even if reference were deleted, banks would continue to issue standby credits subject to the UCP.

UCP 600 makes explicit reference to standby letters of credit and they may therefore be issued subject to the rules. However, it should also be noted that, because the function of a standby letter of credit is different from that of a commercial documentary credit, many of the articles of UCP 600 (for example articles 18–32) have no practical application to a standby letter of credit. This point is recognised in **UCP 600, article 1**.

> The Uniform Customs and Practice for Documentary Credits, 2007 Revision, ICC Publication no. 600 ("UCP") are rules that apply to any documentary credit ("credit") (including, to the extent to which they may be applicable, any standby letter of credit) when the text of the credit expressly indicates that it is subject to these rules. They are binding on all parties thereto unless expressly modified or excluded by the credit.

It is often left to the concerned banks to determine which articles will be applicable.

The problem of the limited applicability of UCP to standby letters of credit has become more acute with their increasing development and the wide

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variety of uses that have arisen in more recent times. As a consequence, the need for separate rules to deal with problems specific to standby letters of credit became increasingly apparent to the international banking community.

In recognition of this need, the ICC obtained the approval of the international banking community for the introduction of separate rules for standby letters of credit. These rules are the International Standby Practices, ICC Publication No. 590 (ISP98).

## 21.4 Standby letters of credit and ISP98

Implemented on 1 January 1999, ISP98 reflects generally accepted practice, custom and usage specifically for standby letters of credit.

It is true to say that a number of standby letters of credit continue to be issued subject to UCP. However, there is a growing awareness internationally that ISP98 provides a more relevant framework for a standby letter of credit and, as a consequence, ISP98 is increasingly used.

ISP, in line with UCP, has been drafted as a set of rules intended for use in daily practice. As may be expected, some of the rules in ISP98 share a basic similarity with their counterpart in UCP and actually shaped some of the drafting of UCP 600.

That said, a different style and approach has been adopted in the ISP98 construction. This is because of the need for ISP98 to gain acceptance not only among the traditional parties to a standby letter of credit, but also among a broader range of those involved in standby letter of credit law and practice, including corporate treasurers and credit managers, rating agencies, government agencies and regulators, and members of the legal profession.

There are a number of differences in substance between ISP98 and UCP 600. These differences result from different practices or problems encountered in the use of standby letters of credit or the need for more precision in the wording of articles. In reality, a beneficiary will draw on a standby letter of credit only if there is a dispute over the performance of the underlying sales contract, and as such its wording, together with the governing rules, is likely to be subject to some robust legal scrutiny.

These differences in substance, together with the structural approach, will be seen in the rules that follow. The ISP98 rules are grouped together under ten generic headings, as follows.

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1. General provisions
2. Obligations
3. Presentation
4. Examination
5. Notice, preclusion and disposition of documents
6. Transfer, assignment and transfer by operation of law
7. Cancellation
8. Reimbursement obligations
9. Timing
10. Syndication / participation

## 21.4.1 General provisions

ISP98, rules 1.01–1.11, establish some basic criteria in light of which ISP98 is to be considered:

- the scope and application of the rules – that is, to standby letters of credit of any form, however named or described, and whether for international or domestic use;
- that an undertaking (standby) subject to ISP98 may modify or exclude any rule therein (note the similarity with UCP 600, article 1); and
- that, should a standby be issued subject to ISP98 and another set of rules, ISP98 will prevail and will supplement the applicable law to the extent not prohibited by that law.

**ISP98, rule 1.03**, establishes a formal international standard banking practice for standbys subject to ISP98.

> These Rules shall be interpreted as mercantile usage with regard for:
>
> a. integrity of standbys as reliable and efficient undertakings to pay;
>
> b practice and terminology of banks and businesses in day-to-day transactions;
>
> c. consistency within the worldwide system of banking operations and commerce; and
>
> d. worldwide uniformity in their interpretation and application.

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It should be noted that a beneficiary is only a party to a standby to the extent that it uses the standby and that an applicant is a recognised party under **ISP98, rule 1.04**.

> Unless the context otherwise requires, or unless expressly modified or excluded, these Rules apply as terms and conditions incorporated into a standby, confirmation, advice, nomination, amendment, transfer, request for issuance, or other agreement of:
>
> i. the issuer;
>
> ii. the beneficiary to the extent it uses the standby;
>
> iii. any advisor;
>
> iv. any confirmer;
>
> v. any person nominated in the standby who acts or agrees to act; and
>
> vi. the applicant who authorises issuance of the standby or otherwise agrees to the application of these Rules.

**ISP98, rules 1.06 and 1.07**, outline the nature of a standby (that is, the irrevocable and binding nature of the undertaking when issued).

> **Rule 1.06 Nature of Standbys**
>
> a. A standby is an irrevocable, independent, documentary, and binding undertaking when issued and need not so state.
>
> b. Because a standby is irrevocable, an issuer's obligations under a standby cannot be amended or cancelled by the issuer except as provided in the standby or as consented to by the person against whom the amendment or cancellation is asserted.
>
> c. Because a standby is independent, the enforceability of an issuer's obligations under a standby does not depend on:
>
> i. the issuer's right or ability to obtain reimbursement from the applicant;

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ii. the beneficiary's right or ability to obtain payment from the applicant;

iii. a reference in the standby to any reimbursement agreement or underlying transaction; or

iv. the issuer's knowledge of performance or breach of any reimbursement agreement or underlying transaction.

d. Because a standby is documentary, an issuer's obligations depend on the presentation of documents and an examination of required documents on their face.

e. Because a standby or amendment is binding when issued, it is enforceable against an issuer whether or not the applicant authorised its issuance, the issuer received a fee, or the beneficiary received or relied on the standby or the amendment.

**Rule 1.07 Independence of the Issuer–Beneficiary Relationship**

An issuer's obligations toward the beneficiary are not affected by the issuer's rights and obligations toward the applicant under any applicable agreement, practice, or law.

Note the relationship of ISP98, rule 1.06(b), with UCP 600, sub-article 10(a).

Note too that:

- ISP98 does not define or provide for defences to honour based on fraud, abuse or similar matters; and
- the obligation of the issuer does not depend on the ability to obtain reimbursement from an applicant, but does depend on the presentation of a complying demand.

Limitations of responsibility are explained in **ISP98, rule 1.08**, and include not being responsible for any performance or breach of the underlying transaction, accuracy or genuineness of any document presented (as in UCP 600, article 34), any action or omission of other persons chosen (as in UCP 600, sub-article 37(b)).

An issuer is not responsible for:

a. performance or breach of any underlying transaction;

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b. accuracy, genuineness, or effect of any document presented under the standby;

c. action or omission of others even if the other person is chosen by the issuer or nominated person; or

d. observance of law or practice other than that chosen in the standby or applicable at the place of issuance.

ISP98, rules 1.09, 1.10, and 1.11, provide, respectively, a definition of terms used in ISP98, a list of redundant or undesirable terms, and interpretations of the rules. Similar coverage can be found in UCP 600, articles 2 and 3.

## 21.4.2 Obligations

There are strong similarities in intent to be found in UCP 600, articles 2 and 6–11. The key differences are:

- the introduction of the concept of 'timely', with **ISP98, rule 2.01(c)**, defining when an issuer acts in such a manner;

c. An issuer acts in a timely manner if it pays at sight, accepts a draft, or undertakes a deferred payment obligation (or if it gives notice of dishonour) within the time permitted for examining the presentation and giving notice of dishonour.

- the obligations of the same issuing entity when operating from another location in a different capacity (**ISP98, rule 2.02**);

For the purposes of these Rules, an issuer's branch, agency, or other office acting or undertaking to act under a standby in a capacity other than as issuer is obligated in that capacity only and shall be treated as a different person.

- the exclusion of a nominated person from binding the person making the nomination (**ISP98, rule 2.04(c)**);

c. A nominated person is not authorised to bind the person making the nomination.

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- that an amendment does not require the applicant's consent to be binding on the issuer, confirmer or the beneficiary (**ISP98, rule 2.06(c)(iii)**).

> iii. an amendment does not require the applicant's consent to be binding on the issuer, the confirmer, or the beneficiary.

It is also important to note the separate undertaking of the confirming bank to the beneficiary under **ISP98, rule 2.01**.

> **Rule 2.01 Undertaking to Honour by Issuer and Any Confirmer to Beneficiary**
>
> a. An issuer undertakes to the beneficiary to honour a presentation that appears on its face to comply with the terms and conditions of the standby in accordance with these Rules supplemented by standard standby practice.
>
> b. An issuer honours a complying presentation made to it by paying the amount demanded of it at sight, unless the standby provides for honour:
>
> i. by acceptance of a draft drawn by the beneficiary on the issuer, in which case the issuer honours by:
>
> (a) timely accepting the draft; and
>
> (b) thereafter paying the holder of the draft on presentation of the accepted draft on or after its maturity.
>
> ii. by deferred payment of a demand made by the beneficiary on the issuer, in which case the issuer honours by:
>
> (a) timely incurring a deferred payment obligation; and
>
> (b) thereafter paying at maturity.
>
> iii. by negotiation, in which case the issuer honours by paying the amount demanded at sight without recourse.
>
> c. An issuer acts in a timely manner if it pays at sight, accepts a draft, or undertakes a deferred payment obligation (or if it gives notice of dishonour) within the time permitted for examining the presentation and giving notice of dishonour.

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d. i. A confirmer undertakes to honour a complying presentation made to it by paying the amount demanded of it at sight or, if the standby so states, by another method of honour consistent with the issuer's undertaking.

ii. If the confirmation permits presentation to the issuer, then the confirmer undertakes also to honour upon the issuer's wrongful dishonour by performing as if the presentation had been made to the confirmer.

iii. If the standby permits presentation to the confirmer, then the issuer undertakes also to honour upon the confirmer's wrongful dishonour by performing as if the presentation had been made to the issuer.

e. An issuer honours by paying in immediately available funds in the currency designated in the standby unless the standby states it is payable by:

i. payment of a monetary unit of account, in which case the undertaking is to pay in that unit of account; or

ii. delivery of other items of value, in which case the undertaking is to deliver those items.

## 21.4.3 Presentation

**ISP98, rule 3.09**, addresses one of the more difficult problems with which issuers of standby letters of credit have to contend, which is as follows.

1. Applicants and beneficiaries are in contact with each other in order to resolve problems with the underlying contract and to extend the standby letter of credit.

2. In the meantime, while such discussions are taking place, a beneficiary (with or without the knowledge of the applicant) makes a claim under the standby letter of credit in order to protect its position. The claim forms the basis of a 'extend or pay' request from the beneficiary.

3. Upon receipt of notification of the claim from the issuer, the applicant often leaves the issuer with the impression that there is no urgency with regard to the claim.


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4. However, the issuer is anxious to examine the claim in the light of the irrevocable undertaking given, and this anxiety is heightened if there is not much time remaining for the expiry of the standby letter of credit and the need for examination of the claim on a timely basis.

A beneficiary's request to extend the expiration date of the standby or, alternatively, to pay the amount available under it:

a. is a presentation demanding payment under the standby, to be examined as such in accordance with these Rules; and

b. implies that the beneficiary:

i. consents to the amendment to extend the expiry date to the date requested;

ii. requests the issuer to exercise its discretion to seek the approval of the applicant and to issue that amendment;

iii. upon issuance of that amendment, retracts its demand for payment; and

iv. consents to the maximum time available under these Rules for examination and notice of dishonour.

These circumstances often also cloud genuine claims made by beneficiaries, and, further, a standby letter of credit itself sometimes provides for the presentation of an extend or pay demand. Contrast the problem as addressed in ISP98 with the way in which it is addressed in the URDG 758.

In terms of UCP 600, article 36, banks need not honour their obligations under documentary credits that expire during a force majeure event and where no presentation was possible. This type of provision would not be equitable in default situations, which are the rationale for the issuance of standby letters of credit. Accordingly, **ISP98, rule 3.14(a)**, makes provision for presentation to be made up to 30 calendar days after the issuer reopens for business.

a. If on the last business day for presentation the place for presentation stated in a standby is for any reason closed and presentation is not timely made because of the closure, then the last day for presentation is automatically extended to the day occurring thirty calendar days after the place for presentation re-opens for business, unless the standby otherwise provides.

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## 21.4.4 Examination

Compare **ISP98, rules 4.01–4.03**, with **UCP 600**, **sub-articles 14(a), (d)** and **(g)**.

**Rule 4.01 Examination for Compliance**

a. Demands for honour of a standby must comply with the terms and conditions of the standby.

b. Whether a presentation appears to comply is determined by examining the presentation on its face against the terms and conditions stated in the standby as interpreted and supplemented by these Rules which are to be read in the context of standard standby practice.

**Rule 4.02 Non-Examination of Extraneous Document**

Documents presented which are not required by the standby need not be examined and, in any event, shall be disregarded for purposes of determining compliance of the presentation. They may without responsibility be returned to the presenter or passed on with the other documents presented.

**Rule 4.03 Examination for Inconsistency**

An issuer or nominated person is required to examine documents for inconsistency with each other only to the extent provided in the standby.

**a.** A nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank must examine a presentation to determine, on the basis of the documents alone, whether or not the documents appear on their face to constitute a complying presentation.

[ … ]

**d.** Data in a document, when read in context with the credit, the document itself and international standard banking practice, need not be identical to, but must not conflict with, data in that document, any other stipulated document or the credit.

[ … ]

**g.** A document presented but not required by the credit will be disregarded and may be returned to the presenter.

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It will also be noted that ISP98, rule 4.03, represents a distinct difference to the requirements of UCP 600, sub-article 14(d), with regard to the examination of documents for inconsistency (that is, not conflicting). This means that, unless otherwise specified in the standby letter of credit, a document examiner need only establish that the documents presented are those called for in the credit. These will be acceptable, notwithstanding that some of the data content of the documents may be in conflict.

Compare the wording of **ISP98, rules 4.05–4.07**, with that of their counterparts in UCP 600, particularly articles 3, 14 and 18.

**Rule 4.05 Issuer of Documents**

Any required document must be issued by the beneficiary unless the standby indicates that the document is to be issued by a third person or the document is of a type that standard standby practice requires to be issued by a third person.

**Rule 4.06 Date of Documents**

The issuance date of a required document may be earlier but not later than the date of its presentation.

**Rule 4.07 Required Signature on a Document**

a. A required document need not be signed unless the standby indicates that the document must be signed or the document is of a type that standard standby practice requires be signed.

b. A required signature may be made in any manner that corresponds to the medium in which the signed document is presented.

c. Unless a standby specifies:

   i. the name of a person who must sign a document, any signature or authentication will be regarded as a complying signature.

   ii. the status of a person who must sign, no indication of status is necessary.

d. If a standby specifies that a signature must be made by:

   i. a named natural person without requiring that the signer's status be identified, a signature complies that appears to be that of the named person;

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ii. a named legal person or government agency without identifying who is to sign on its behalf or its status, any signature complies that appears to have been made on behalf of the named legal person or government agency; or

iii. a named natural person, legal person, or government agency requiring the status of the signer be indicated, a signature complies which appears to be that of the named natural person, legal person, or government agency and indicates its status.

Comparisons should also be made between the wording of **ISP98, rules 4.11 and 4.12**, and their counterparts in UCP 600, particularly article 3 and sub-article 14(h).

**Rule 4.11 Non-Documentary Terms or Conditions**

a. A standby term or condition which is non-documentary must be disregarded whether or not it affects the issuer's obligation to treat a presentation as complying or to treat the standby as issued, amended, or terminated.

b. Terms or conditions are non-documentary if the standby does not require presentation of a document in which they are to be evidenced and if their fulfilment cannot be determined by the issuer from the issuer's own records or within the issuer's normal operations.

c. Determinations from the issuer's own records or within the issuer's normal operations include determinations of:

i. when, where, and how documents are presented or otherwise delivered to the issuer;

ii. when, where, and how communications affecting the standby are sent or received by the issuer, beneficiary, or any nominated person;

iii. amounts transferred into or out of accounts with the issuer; and

iv. amounts determinable from a published index (e.g., if a standby provides for determining amounts of interest accruing according to published interest rates).

d. An issuer need not re-compute a beneficiary's computations under a formula stated or referenced in a standby except to the extent that the standby so provides.

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**Rule 4.12 Formality of Statements in Document**

a. A required statement need not be accompanied by a solemnity, officialization, or any other formality.

b. If a standby provides for the addition of a formality to a required statement by the person making it without specifying form or content, the statement complies if it indicates that it was declared, averred, warranted, attested, sworn under oath, affirmed, certified, or the like.

c. If a standby provides for a statement to be witnessed by another person without specifying form or content, the witnessed statement complies if it appears to contain a signature of a person other than the beneficiary with an indication that the person is acting as a witness.

d. If a standby provides for a statement to be counter-signed, legalized, visaed, or the like by a person other than the beneficiary acting in a governmental, judicial, corporate, or other representative capacity without specifying form or content, the statement complies if it contains the signature of a person other than the beneficiary and includes an indication of that person's representative capacity and the organization on whose behalf the person has acted.

**ISP98, rules 4.16–4.21**, indicate the difference in usage between standby letters of credit and commercial documentary credits.

**Rule 4.16 Demand for Payment**

a. A demand for payment need not be separate from the beneficiary's statement or other required document.

b. If a separate demand is required, it must contain:

i. a demand for payment from the beneficiary directed to the issuer or nominated person;

ii. a date indicating when the demand was issued;

iii. the amount demanded; and

iv. the beneficiary's signature.

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c. A demand may be in the form of a draft or other instruction, order, or request to pay. If a standby requires presentation of a "draft" or "bill of exchange", that draft or bill of exchange need not be in negotiable form unless the standby so states.

**Rule 4.17 Statement of Default or Other Drawing Event**

If a standby requires a statement, certificate, or other recital of a default or other drawing event and does not specify content, the document complies if it contains:

a. a representation to the effect that payment is due because a drawing event described in the standby has occurred;

b. a date indicating when it was issued; and

c. the beneficiary's signature.

**Rule 4.18 Negotiable Documents**

If a standby requires presentation of a document that is transferable by endorsement and delivery without stating whether, how, or to whom endorsement must be made, then the document may be presented without endorsement, or, if endorsed, the endorsement may be in blank and, in any event, the document may be issued or negotiated with or without recourse.

**Rule 4.19 Legal or Judicial Document**

If a standby requires presentation of a government-issued document, a court order, an arbitration award, or the like, a document or a copy is deemed to comply if it appears to be:

i. issued by a government agency, court, tribunal, or the like;

ii. suitably titled or named;

iii. signed;

iv. dated; and

v. originally certified or authenticated by an official of a government agency, court, tribunal, or the like.


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**Rule 4.20 Other Documents**

a. If a standby requires a document other than one whose content is specified in these Rules without specifying the issuer, data content, or wording, a document complies if it appears to be appropriately titled or to serve the function of that type of document under standard standby practice.

b. A document presented under a standby is to be examined in the context of standby practice under these Rules even if the document is of a type (such as a commercial invoice, transport documents, insurance documents or the like) for which the Uniform Customs and Practice for Documentary Credits contains detailed rules.

**Rule 4.21 Request to Issue Separate Undertaking**

If a standby requests that the beneficiary of the standby issue its own separate undertaking to another (whether or not the standby recites the text of that undertaking):

a. the beneficiary receives no rights other than its rights to draw under the standby even if the issuer pays a fee to the beneficiary for issuing the separate undertaking;

b. neither the separate undertaking nor any documents presented under it need be presented to the issuer; and

c. if originals or copies of the separate undertaking or documents presented under it are received by the issuer although not required to be presented as a condition to honour of the standby:

i. the issuer need not examine, and, in any event, shall disregard their compliance or consistency with the standby, with the beneficiary's demand under the standby, or with the beneficiary's separate undertaking; and

ii. the issuer may without responsibility return them to the presenter or forward them to the applicant with the presentation.

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## 21.4.5 Notice, preclusion and disposition of documents

The nine rules covered under the generic heading 'Notice, preclusion, and disposition of documents' set out the requirements and responsibilities if a presentation under a standby letter of credit is refused. A parallel can be drawn with UCP 600, article 16, but some wording is again included in order to provide precision in the rules' meaning and application.

ISP98, rule 2.01(c), defines when an issuer is deemed to act in a timely manner, i.e., 'within the time permitted for examining the presentation and giving notice of dishonour'. **ISP98, rule 5.01**, designates that this time should not be unreasonable: within three business days is never unreasonable, whereas beyond seven business days is always unreasonable.

a. Notice of dishonour must be given within a time after presentation of documents which is not unreasonable.

   i. Notice given within three business days is deemed to be not unreasonable and beyond seven business days is deemed to be un-reasonable.

   ii. Whether the time within which notice is given is unreasonable does not depend upon an imminent deadline for presentation.

   iii. The time for calculating when notice of dishonour must be given begins on the business day following the business day of presentation.

   iv. Unless a standby otherwise expressly states a shortened time within which notice of dishonour must be given, the issuer has no obligation to accelerate its examination of a presentation.

b. i. The means by which a notice of dishonour is to be given is by telecommunication, if available, and, if not, by another available means which allows for prompt notice.

   ii. If notice of dishonour is received within the time permitted for giving the notice, then it is deemed to have been given by prompt means.

c. Notice of dishonour must be given to the person from whom the documents were received (whether the beneficiary, nominated person, or person other than a delivery person) except as otherwise requested by the presenter.

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This can be compared with UCP 600, sub-article 14(b), which gives each bank five banking days following the date of presentation in which to determine whether a presentation complies.

**ISP98, rule 5.09**, recognises the fact that applicants sometimes raise objections or discrepancies after payment by the issuer.

> a. An applicant must timely object to an issuer's honour of a noncomplying presentation by giving timely notice by prompt means.
>
> b. An applicant acts timely if it objects to discrepancies by sending a notice to the issuer stating the discrepancies on which the objection is based within a time after the applicant's receipt of the documents which is not unreasonable.
>
> c. Failure to give a timely notice of objection by prompt means precludes assertion by the applicant against the issuer of any discrepancy or other matter apparent on the face of the documents received by the applicant, but does not preclude assertion of that objection to any different presentation under the same or a different standby.

ISP98, rules 5.09(a) and (c), use the words 'timely notice', which is defined in ISP98, rule 5.01. The two paragraphs together indicate that any objections by the applicant should not be made in a time that is considered unreasonable, although it is the issuer alone that has to decide whether to honour a presentation in terms of its irrevocable, independent and binding undertaking.

## 21.4.6 Transfer, assignment and transfer by operation of law

The ISP98 rules on transferability of a standby letter of credit differ significantly from those under UCP 600, article 38. The prime differences are contained in ISP98, rule 6.02(b)(i) and (ii), which provides for the standby letter of credit to be transferred in its entirety more than once and prohibits partial transfer, unless otherwise stated in the terms of the standby letter of credit.

The ISP98 rules on the assignment of proceeds provide greater detail than the corresponding UCP 600, article 39, with regard to the responsibilities and obligations of an issuer or nominated party when acknowledging assignment of proceeds requests. **ISP98, rules 6.06–6.10**, will apply if the beneficiary has made an assignment of proceeds.

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**Rule 6.06 Assignment of Proceeds**

Where an issuer or nominated person is asked to acknowledge a beneficiary's request to pay an assignee all or part of any proceeds of the beneficiary's drawing under the standby, these Rules on acknowledgment of an assignment of proceeds apply except where applicable law otherwise requires.

**Rule 6.07 Request for Acknowledgment**

a. Unless applicable law otherwise requires, an issuer or nominated person

i. is not obligated to give effect to an assignment of proceeds which it has not acknowledged; and

ii. is not obligated to acknowledge the assignment.

b. If an assignment is acknowledged:

i. the acknowledgment confers no rights with respect to the standby to the assignee who is only entitled to the proceeds assigned, if any, and whose rights may be affected by amendment or cancellation; and

ii. the rights of the assignee are subject to:

(a) the existence of any net proceeds payable to the beneficiary by the person making the acknowledgment;

(b) rights of nominated persons and transferee beneficiaries;

(c) rights of other acknowledged assignees; and

(d) any other rights or interests that may have priority under applicable law.

**Rule 6.08 Conditions to Acknowledgment of Assignment of Proceeds**

An issuer or nominated person may condition its acknowledgment on receipt of:

a. the original standby for examination or notation;

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b. verification of the signature of the person signing for the beneficiary;

c. verification of the authority of the person signing for the beneficiary;

d. an irrevocable request signed by the beneficiary for acknowledgment of the assignment that includes statements, covenants, indemnities, and other provisions which may be contained in the issuer's or nominated person's required form requesting acknowledgment of assignment, such as:

i. the identity of the affected drawings if the standby permits multiple drawings;

ii. the full name, legal form, location, and mailing address of the beneficiary and the assignee;

iii. details of any request affecting the method of payment or delivery of the standby proceeds;

iv. limitation on partial assignments and prohibition of successive assignments;

v. statements regarding the legality and relative priority of the assignment; or

vi. right of recovery by the issuer or nominated person of any proceeds received by the assignee that are recoverable from the beneficiary;

e. payment of a fee for the acknowledgment; and

f. fulfillment of other reasonable requirements.

**Rule 6.09 Conflicting Claims to Proceeds**

If there are conflicting claims to proceeds, then payment to an acknowledged assignee may be suspended pending resolution of the conflict.

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**Rule 6.10 Reimbursement for Payment Based on an Assignment**

An issuer or nominated person paying under an acknowledged assignment pursuant to Rule 6.08(a) and (b) is entitled to reimbursement as if it had made payment to the beneficiary. If the beneficiary is a bank, the acknowledgment may be based solely upon an authenticated communication.

## 21.4.7 Cancellation

Given the nature of the use of standby letters of credit and the 'extend or pay' practice, as defined in ISP98, rule 3.09, it is of vital importance that the issuer is able to determine with absolute certainty that the beneficiary has agreed to any request for cancellation of the standby letter of credit.

**ISP98, rules 7.01 and 7.02**, cover cancellation.

**Rule 7.01 When an Irrevocable Standby is Cancelled or Terminated**

A beneficiary's rights under a standby may not be cancelled without its consent. Consent may be evidenced in writing or by an action such as return of the original standby in a manner which implies that the beneficiary consents to cancellation. A beneficiary's consent to cancellation is irrevocable when communicated to the issuer.

**Rule 7.02 Issuer's Discretion Regarding a Decision to Cancel**

Before acceding to a beneficiary's authorization to cancel and treating the standby as cancelled for all purposes, an issuer may require in a manner satisfactory as to form and substance:

a. the original standby;

b. verification of the signature of the person signing for the beneficiary;

c. verification of the authorization of the person signing for the beneficiary;

d. a legal opinion;

e. an irrevocable authority signed by the beneficiary for cancellation that includes statements, covenants, indemnities, and similar provisions contained in a required form;

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f. satisfaction that the obligation of any confirmer has been cancelled;

g. satisfaction that there has not been a transfer or payment by any nominated person; and

h. any other reasonable measure.

## 21.4.8 Reimbursement obligations

The four rules collated under the heading 'Reimbursement obligations' cover the right to reimbursement not only of a nominated party from the issuer, but also of the issuer from the applicant. In this regard, **ISP98, rule 8.01(b)**, also builds into the rules the obligations of the applicant, which will invariably be covered to differing degrees in a separate agreement or facility letter between the issuer and applicant.

b. An applicant must indemnify the issuer against all claims, obligations, and responsibilities (including attorney's fees) arising out of:

i. the imposition of law or practice other than that chosen in the standby or applicable at the place of issuance;

ii. the fraud, forgery, or illegal action of others; or

iii. the issuer's performance of the obligations of a confirmer that wrongfully dishonours a confirmation.

By way of **ISP98, rule 8.04**, the ISP98 adopts the incorporation of the *ICC Rules for Bank-to-Bank Reimbursements* into its terms without specific reference in the standby.

Any instruction or authorization to obtain reimbursement from another bank is subject to the International Chamber of Commerce standard rules for bank-to-bank reimbursements.

## 21.4.9 Timing

The separation of presentation under ISP98, section 3, from expiry in section 9 contrasts with their provisions under UCP 600, articles 6, 14, 29 and 33.

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A further point that should be noted is the reinforcement, as provided in **ISP98, rule 9.05**, of the fact that retention of the standby letter of credit by the beneficiary after expiry does not preserve any rights to demand payment.

> Retention of the original standby does not preserve any rights under the standby after the right to demand payment ceases.

The aim of this provision is to establish the position of a standby letter of credit subject to ISP98 where the laws of certain countries permit demands to be made against guarantees, in some cases long after their expiry date.

## 21.5 Evergreen (or annually renewable) standby letters of credit

A feature of many standby letters of credit – especially those that relate to long-term projects or transactions – is what is known as an 'evergreen' (or 'annually renewable') clause.

It can often be the case that an applicant will require the issuance of a standby letter of credit with a validity of more than one year, but its credit facility permits a validity of only one year maximum. In order that the transaction may still be issued, a bank may offer an evergreen clause as the solution.

Consider the example of a standby letter of credit that is to be issued with a validity of five years.

1. The standby letter of credit is issued with a validity of one year (which is the maximum under the applicant's credit facility), the expiry date being '31 December 20XX'.

2. The standby letter of credit incorporates the following clause.

> This standby letter of credit will automatically extend for further periods of one year from the current and any future expiry date, subject to a maximum expiry date of 31 December 20XX [i.e., the date five years hence], unless we advise you at least 60 days prior to the then expiry date that we elect not to renew for a further one year period(s). In the event that we elect not to renew, you may draw hereunder for any amount that may be due to you.

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3. If, each year, the bank decides not to provide a notice of non-renewal, the standby letter of credit will automatically extend for a further period of one year until the final expiry date is reached.

4. If the bank decides at any point not to renew and issues its non-renewal notice at least 60 days prior to the then expiry date, the standby letter of credit will expire on 31 December of that year.

5. If the notice of non-renewal is issued later than 60 days prior to the then expiry date, the standby letter of credit will expire on 31 December of the following year.

# Questions

1. What is the type of standby letter of credit that is intended to be the primary means of payment?

   A. Financial

   B. Direct pay

   C. Performance

   D. Advance payment

2. An issuer of a standby subject to ISP98 is responsible for which of the following?

   A. The accuracy of any document

   B. Any act of omission by the nominated bank

   C. The observance of law, as stated in the standby

   D. The performance of any underlying transaction

3. The issuing bank of a standby credit subject to ISP98 acknowledges an instruction from the beneficiary to assign proceeds. Which of the following statements is incorrect?

   A. The rights of the assignee are subject to the rights of any other acknowledged assignee.

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B. The rights of the assignee are subject to the rights of any other assignees, pending acknowledgement.

C. The rights of the assignee are subject to any other rights or interests that may have priority under the applicable law.

D. The rights of the assignee are subject to the existence of any net proceeds payable to the beneficiary by the person making the acknowledgement.

4. A standby letter of credit that supports the obligations of an applicant to pay for goods or services in the event of non-payment by another method is usually described as which of the following?

A. A financial standby

B. A direct-pay standby

C. A commercial standby

D. An advance payment standby

5. Which of the following is true of a standby credit subject to ISP98 that states that it is not operative?

A. It is irrevocable from date of issue.

B. It is deemed not to have been issued.

C. It is available for drawing immediately.

D. It is revocable prior to becoming operative.


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